

PERSISTENT PUZZLE IN ECONOMICS: PERSISTENT ECONOMIC SLACK

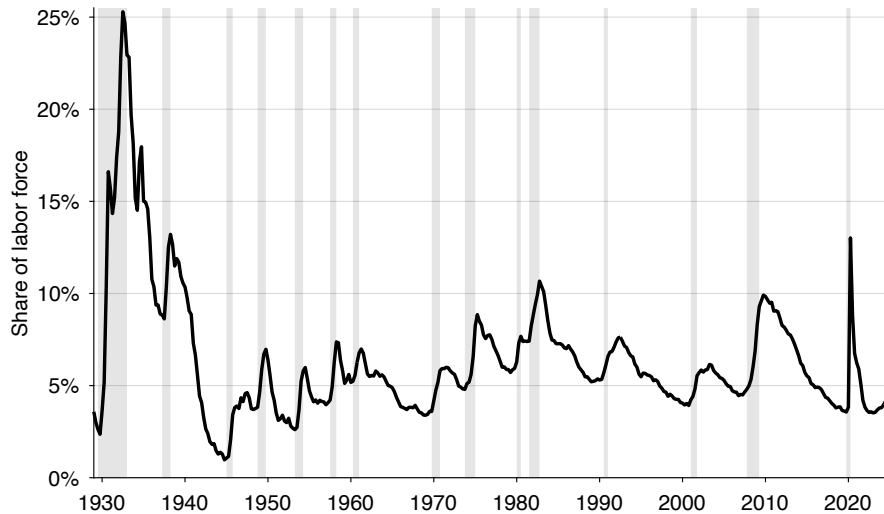
Pascal Michailat

July 2026

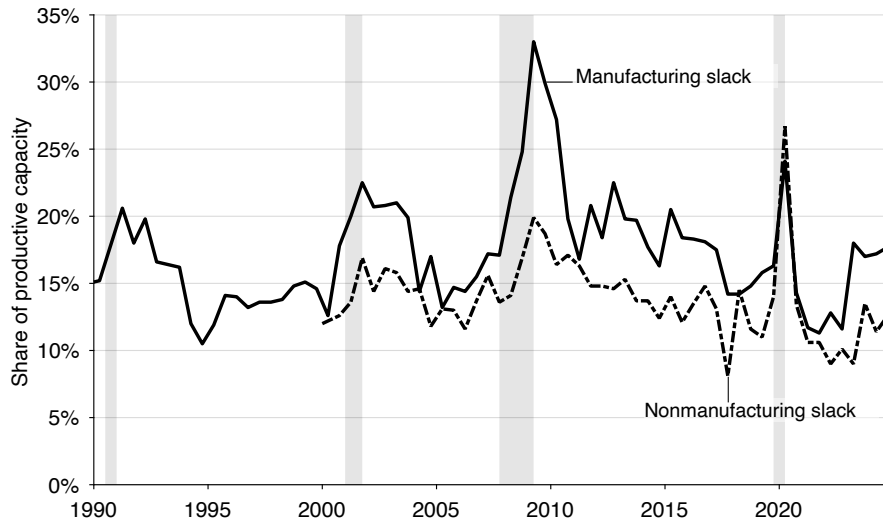
Book available at <https://pascalmichailat.org/18/>

1. SLACK IS ALMOST EVERYWHERE AT ALL TIMES

US UNEMPLOYMENT RATE AVERAGES 6.4%

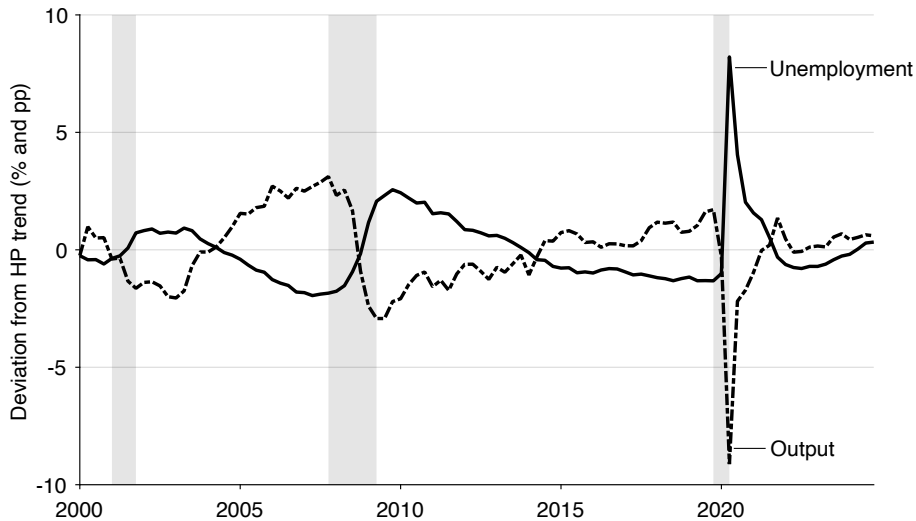


US PRODUCT-MARKET SLACK RATE AVERAGES 14%–17%

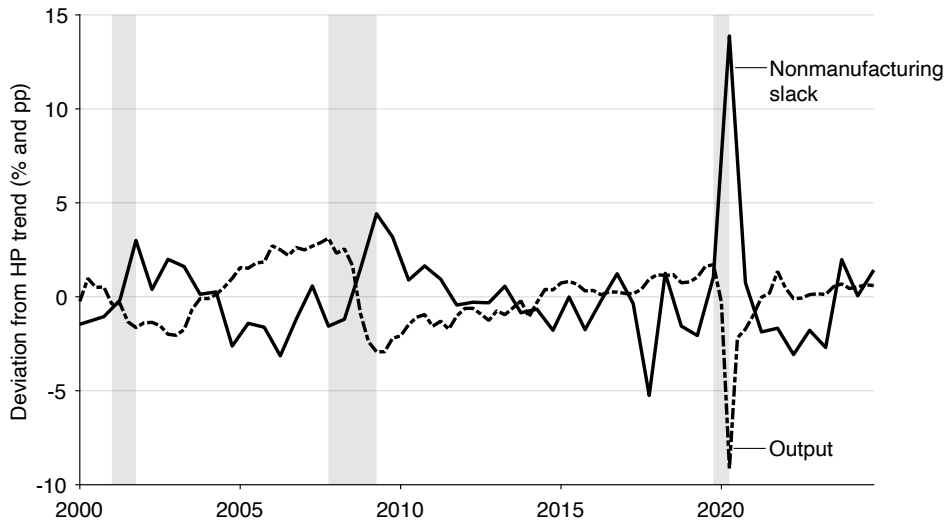


2. SLACK IS SHARPLY COUNTERCYCLICAL

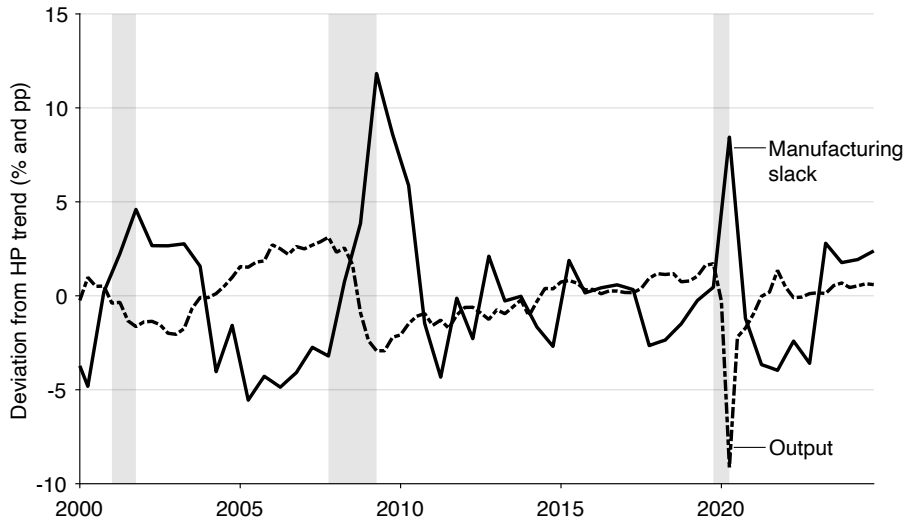
CORRELATION BETWEEN LABOR-MARKET SLACK AND OUTPUT: -0.90



CORRELATION BETWEEN NONMANUFACTURING SLACK AND OUTPUT: -0.72

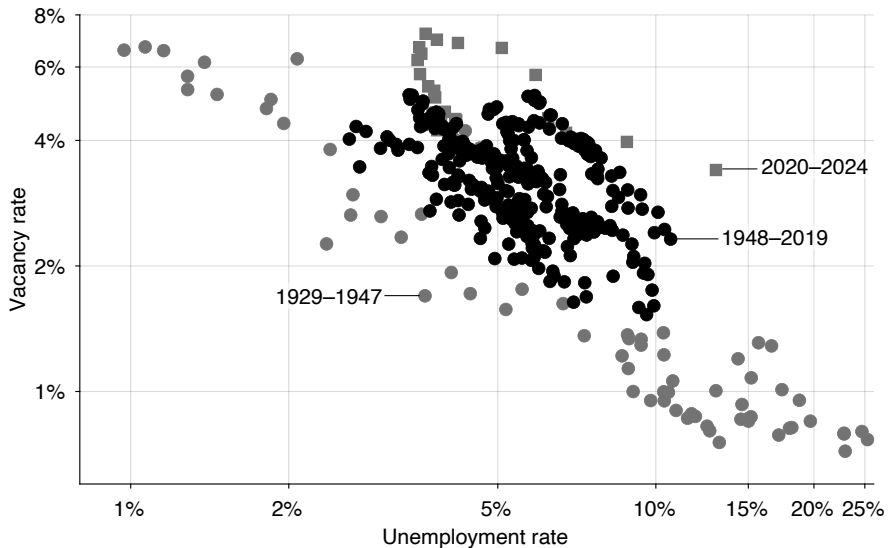


CORRELATION BETWEEN MANUFACTURING SLACK AND OUTPUT: -0.65

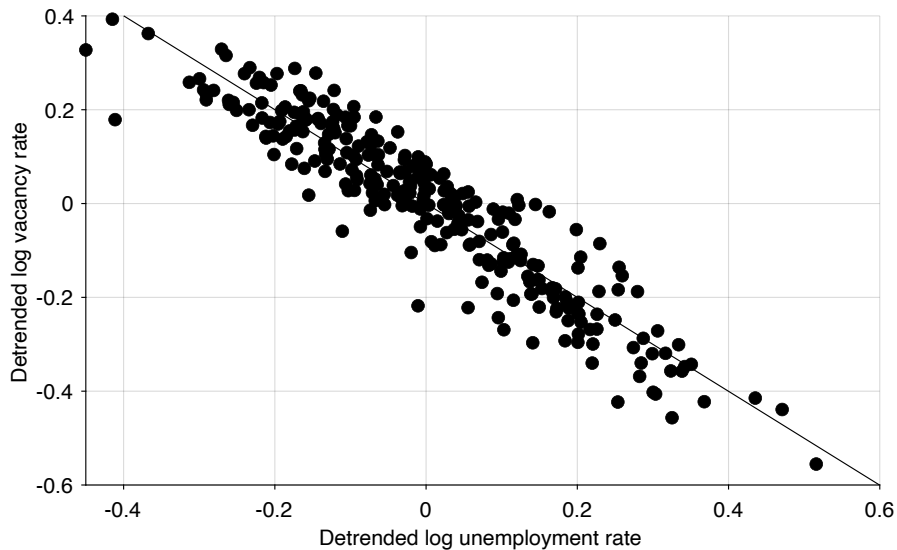


3. BUYERS TRY TO BUY WHILE SELLERS TRY TO SELL

US LABOR MARKET: BEVERIDGE CURVE IS VISIBLE SINCE 1929

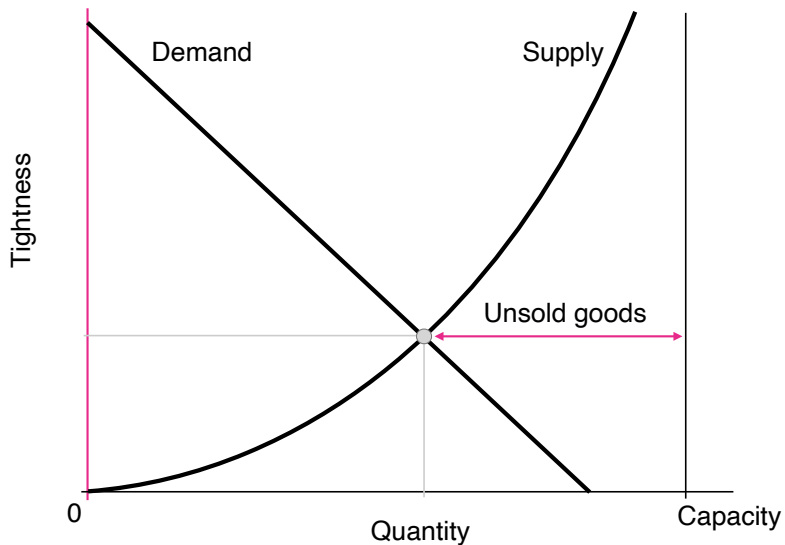


US BEVERIDGE CURVE IS RECTANGULAR HYPERBOLA: $u \times v = b$

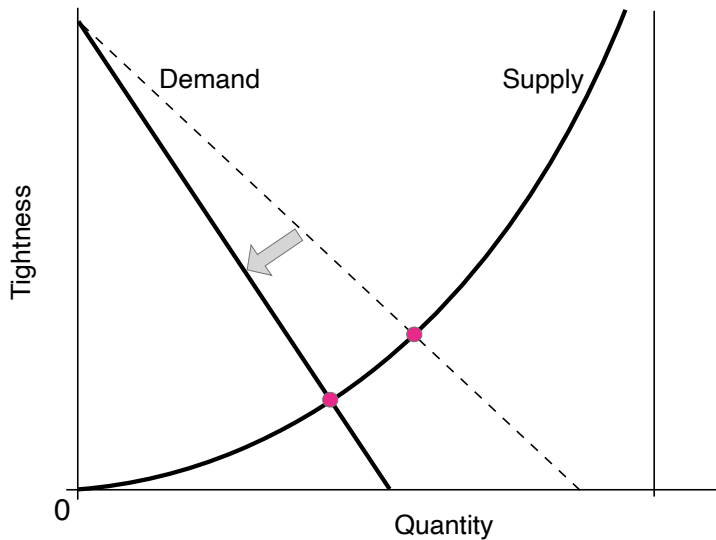


4. SLACKISH MARKETS EQUILIBRATE THROUGH TIGHTNESS, NOT PRICE

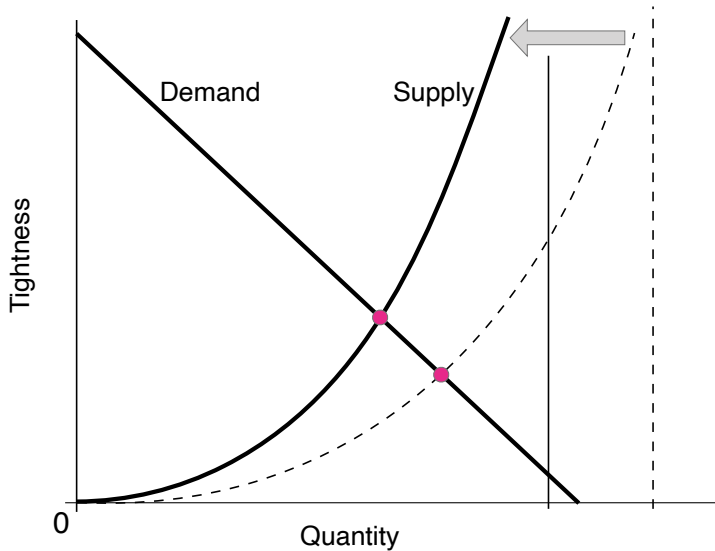
SUPPLY-DEMAND DIAGRAM FOR SLACKISH MARKET MODEL



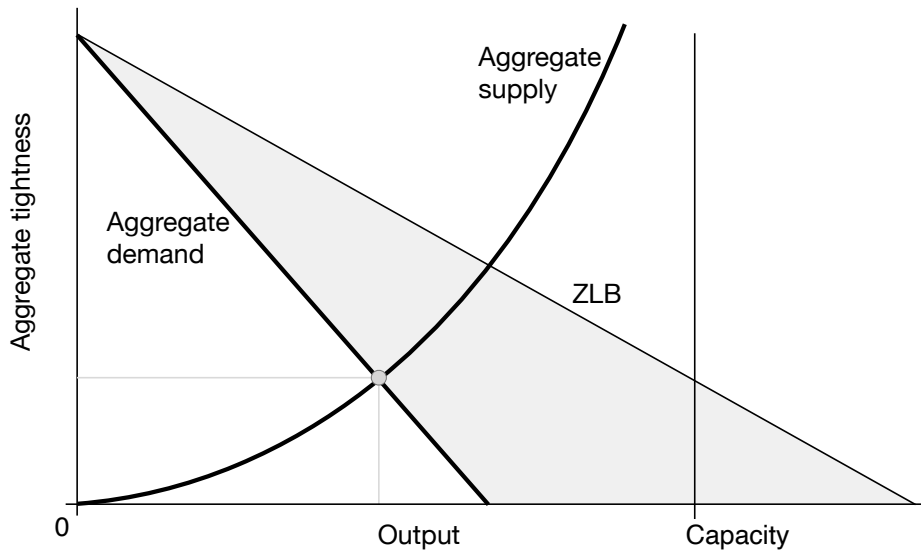
DEMAND SHOCK: POSITIVE TIGHTNESS-OUTPUT CORRELATION



SUPPLY SHOCK: NEGATIVE TIGHTNESS-OUTPUT CORRELATION

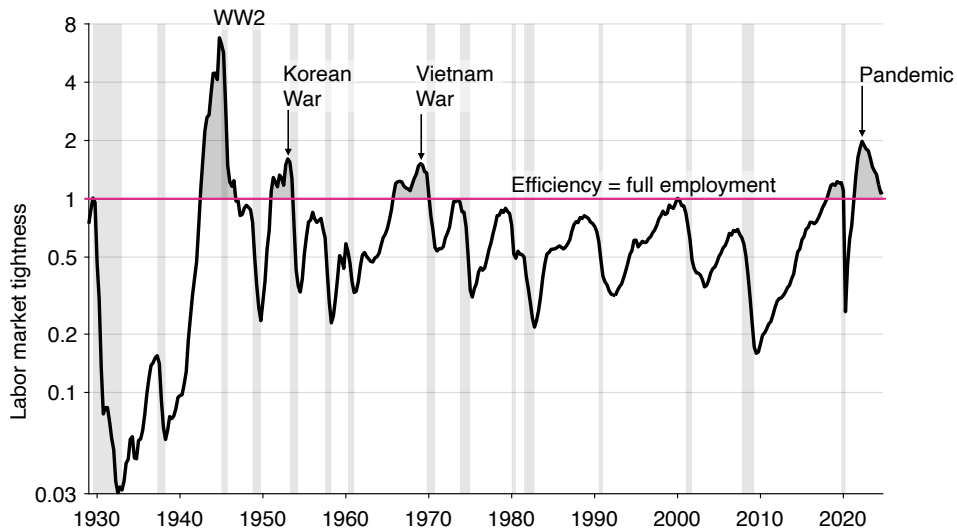


SLACKISH BUSINESS CYCLE MODEL CAN BE REPRESENTED SIMILARLY



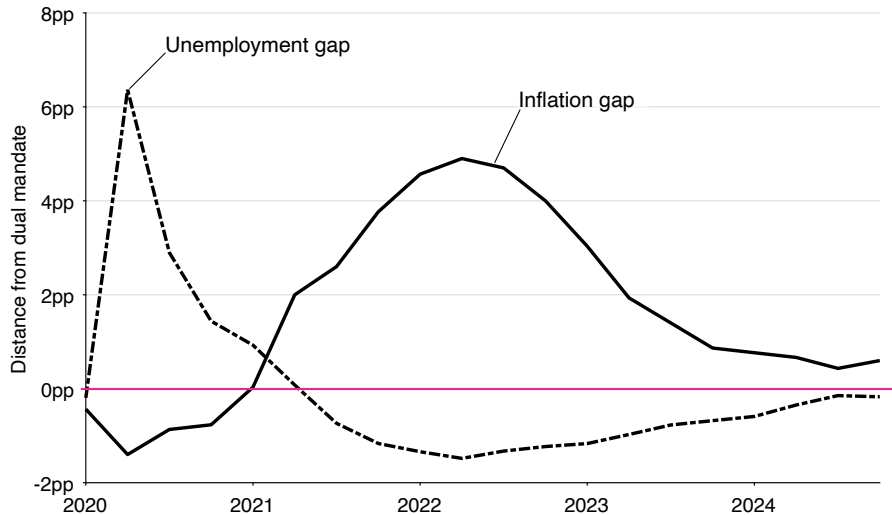
5. SLACKISH MARKETS ARE GENERALLY INEFFICIENT

US LABOR MARKET IS GENERALLY INEFFICIENTLY SLACK

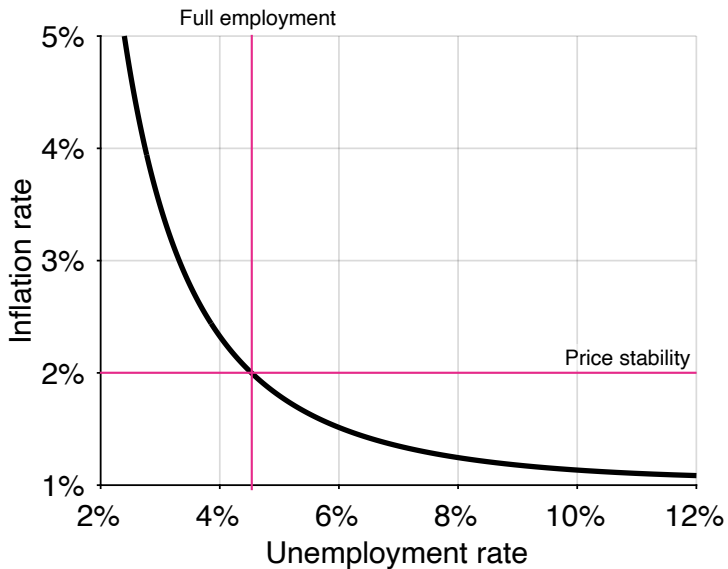


6. SLACK MIGHT DETERMINE INFLATION TOO

US SLACK AND INFLATION DURING PANDEMIC RECOVERY

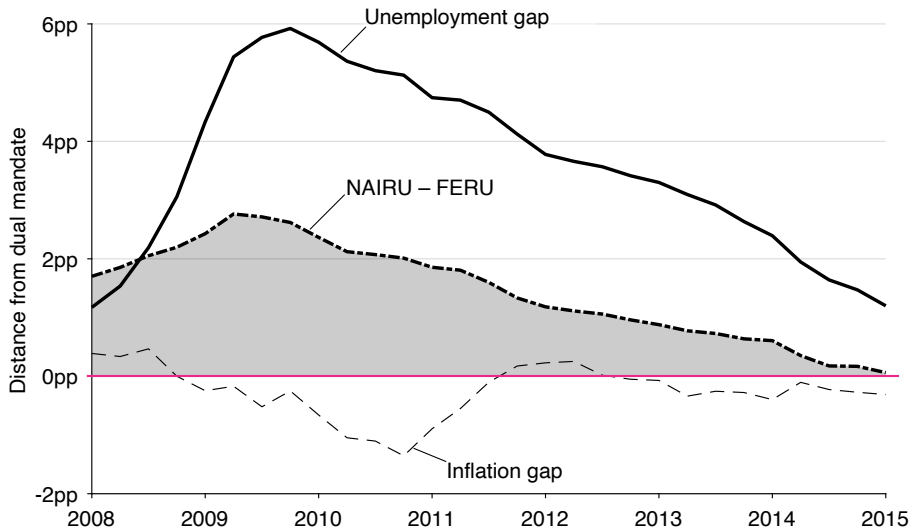


SLACKISH PHILLIPS CURVE IS QUITE CONVEX

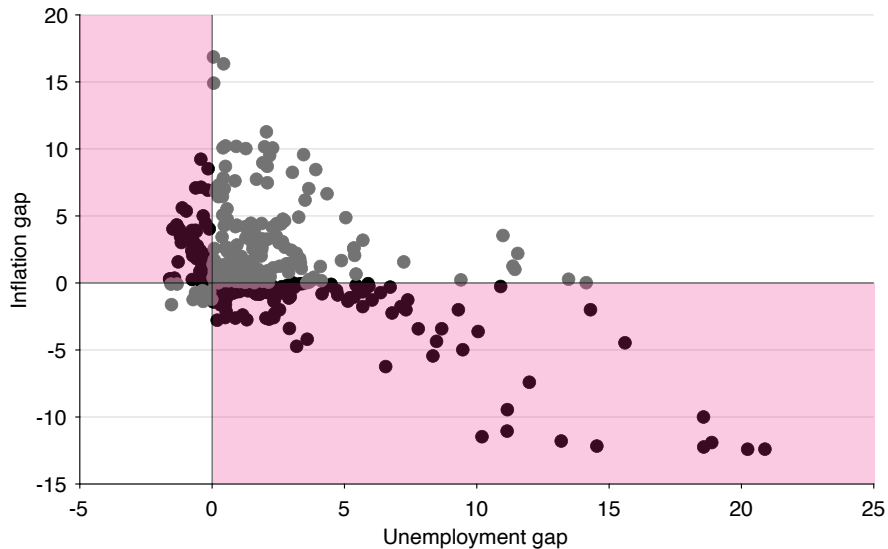


7. SLACK DETERMINES OPTIMAL MONETARY AND FISCAL POLICY

NAIRU COST 16 MILLION WORKER-YEARS OF UNEMPLOYMENT OVER 2008–2015



MONETARY POLICY IS SUBOPTIMAL $> 47\%$ OF TIME



OPTIMAL STIMULUS PACKAGE DURING GREAT DEPRESSION

